

Internal AI Usage Policy

Nova Insurance Group | Policy Document NIG-POL-AI-001

1. Purpose and Scope

This policy establishes the rules, responsibilities and acceptable-use boundaries for all employees, contractors and third-party partners of Nova Insurance Group (hereinafter the Company) who use, develop, procure or oversee artificial intelligence (AI) tools and systems in the course of their work. It applies to all business units, including underwriting, claims, customer service, IT, finance, HR and legal/compliance.

The objective of this policy is to ensure that AI is used responsibly, securely and in full compliance with applicable laws and regulations — including the EU AI Act, GDPR, and sector-specific insurance regulations — while enabling employees to benefit from productivity gains that AI tools can provide.

2. Definitions

AI Tool: Any software system that uses machine-learning models, large language models (LLMs), generative AI, automated decision-making algorithms, or similar technologies.

Public AI Tool: Any AI tool operated by a third party that processes user inputs on external infrastructure (e.g., ChatGPT, Gemini, Copilot in personal accounts, public API endpoints).

Internal AI Tool: An AI system deployed on Company-approved, Company-controlled or contractually ring-fenced infrastructure with verified data residency and processing agreements.

Personal Data: Any information relating to an identified or identifiable natural person (Art. 4 GDPR).

Customer Data: Personal data, policy data, claims data or any other information relating to a Nova Insurance Group policyholder, claimant or prospect.

High-Risk AI System: Any AI system classified as high-risk under Annex III of the EU AI Act.

3. Permitted Uses of AI Tools

Employees may use approved AI tools for the following purposes:

- Drafting internal correspondence, summaries and reports (subject to Section 5).
- Generating code, scripts or test cases for internal development projects.
- Summarising publicly available market research or regulatory documents.
- Producing first-draft analysis of anonymised or synthetic data sets.
- Automating repetitive internal administrative tasks with Line Manager approval.
- Translating content that does not contain personal or customer data.

4. Prohibited Uses of AI Tools

The following uses are strictly prohibited and may result in disciplinary action, up to and including termination of employment:

- Entering, uploading or pasting customer data (personal, financial or claims-related) into any public AI tool.
- Using AI to make or communicate final underwriting or claims decisions without human review.
- Generating or distributing AI-created content that impersonates a real person.
- Using AI tools to circumvent security controls, access restrictions or audit trails.
- Training external AI models on Company proprietary data without Legal approval.
- Using AI to process special-category data (health, biometric, etc.) outside approved internal systems.
- Publishing AI-generated external communications (marketing, regulatory filings) without compliance sign-off.

5. Disclosure and Transparency Requirements

Where AI-generated content is used in internal documents, reports, presentations or analyses, the author must include a disclosure statement. The minimum required disclosure is:

"Parts of this document were generated or assisted by AI. The content has been reviewed and verified by [Name / Role] on [Date]."

For customer-facing communications, explicit disclosure of AI involvement is mandatory and must follow the format approved by the Compliance & Legal team. Any AI-generated advice or recommendation must be validated by a qualified human professional before transmission.

6. Data Protection Obligations

All employees must adhere to the following data protection requirements when using AI tools:

- Never enter personal data, customer data or confidential business information into a public AI tool.
- Before using an internal AI tool with personal data, verify it is listed on the Approved Tools Register.
- Apply data minimisation — use the least amount of data necessary to achieve the task.
- Report any suspected personal data breach involving an AI tool immediately to the DPO (dpo@nova-insurance.eu).
- Complete the mandatory annual AI & Data Privacy e-learning module.

7. Compliance Approval Gate

New AI use cases must pass through the Compliance Approval Process (see document NIG-PROC-COMP-004) before deployment. A use case is considered 'new' when:

- A tool or model not previously approved is being used for a business purpose.
- An existing approved tool is being applied to a new data category or business function.
- The output of an AI system will influence decisions affecting customers or regulatory reporting.
- Third-party AI services are being procured for the first time.

The Compliance team targets a 10 business-day review cycle. Emergency approvals can be requested via the expedited process with CISO and CDPO sign-off.

8. Roles and Responsibilities

Role	Responsibility
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All Employees	Follow this policy; complete training; report violations.
Line Managers	Ensure team compliance; approve team-level AI tool requests.
IT / Information Security	Maintain the Approved Tools Register; conduct vendor due diligence.
Chief Compliance Officer	Own this policy; manage the approval gate; report to Board.
Data Protection Officer	Advise on GDPR obligations; manage data breach response.
Legal	Review AI contracts; advise on regulatory classification.

9. Violations and Disciplinary Action

Breaches of this policy will be handled according to the Company's Disciplinary Procedure. Depending on severity, consequences may range from mandatory retraining to termination of employment and/or referral to regulatory authorities. Employees who in good faith report suspected violations are protected from retaliation under the Company's Whistleblower Policy.

10. Review and Version Control

This policy is reviewed annually by the Chief Compliance Officer and the Data Protection Officer, or immediately following a material regulatory change. The current approved version is maintained on the Company intranet. All previous versions are archived in the Document Management System.

Approved by	Chief Compliance Officer — M. Hoffmann
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Document Owner	Compliance & Legal Department